

ASIA IN FOCUS

Why Beijing may favor gradual RMB appreciation

- China's goods trade surplus continues to grow on the back of strong manufacturing competitiveness and technological progress, raising concerns about de-industrialization in other economies. Foreign policymakers are exploring a range of potential responses, including trade barriers and pressure for appreciation of the Chinese renminbi.
- Beijing's stated economic policy objectives include further growth in high-tech sectors to "build a manufacturing superpower", "self-reliance" in key inputs and technologies, and increased internationalization of the renminbi. We anticipate that China's policymakers will continue to favor gradual CNY appreciation against the US dollar (3-5%/year) as the option that best balances these objectives.
- We expect both incremental broad USD depreciation in coming years and lower inflation in China than most other countries. Under these conditions, the renminbi could appreciate gradually against the dollar on a sustained basis without major impact on Chinese manufacturers' relative competitiveness (as measured by the real trade-weighted exchange rate) or loss of global manufacturing share.

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As China's trade surplus grows steadily larger – with the goods surplus now 6% of GDP and more than 1% of global GDP – anxiety among foreign policymakers about the impact on their manufacturing sectors is growing. The United States responded with broad tariffs, while other countries and regions (e.g. the EU) have been more selective and restrained. Analysts have also publicly debated a range of proposals for alleviating global imbalances. US Treasury Secretary Bessent has described China's trade surplus as “unsustainable” and recently called for other countries to “examine their terms of trade with China”.

As we have noted repeatedly in the past, China's currency is substantially undervalued, contributing to its export success. This has been one argument given to justify tariff protection against Chinese goods. It also underpins proposals that other economies pressure China to allow the renminbi to appreciate more quickly as a way of reducing current account imbalances. By contrast, senior IMF officials recently downplayed the role of FX, arguing that structural adjustment and US fiscal consolidation is a preferable adjustment route. Our own view is that currency adjustment is necessary but not sufficient – it would need to be combined with fiscal expansion aimed at boosting China's demand in order to bring China's own economy back to balance, and with fiscal restraint in large deficit economies.

However, experienced forecasters know that it is important to distinguish the question of what policymakers *should* do from what they are *likely* to do. China's stated macroeconomic goals and its policy outcomes suggest that rebalancing – either global or domestic – does not appear to be high on Beijing's agenda. In what follows, we attempt to take a look at the situation from Beijing's perspective.

In our view, China's policymakers effectively seek to further increase China's share of global manufacturing and move up the technology ladder while becoming less dependent on foreign supply. (Aware of foreign concerns about rising surpluses, China's policymakers have claimed they “never deliberately pursued a trade surplus”¹, but with goals of further strengthening across many manufacturing industries and “self-reliance” across a range of critical inputs, it is difficult to see how the math could work out otherwise.) Strength in foreign demand is generally accompanied by restraint in domestic China macro policy, as has been the case recently (Exhibit 1). Put differently, the revealed preference of policymakers appears to be to leverage foreign demand to the extent possible to drive China's growth.

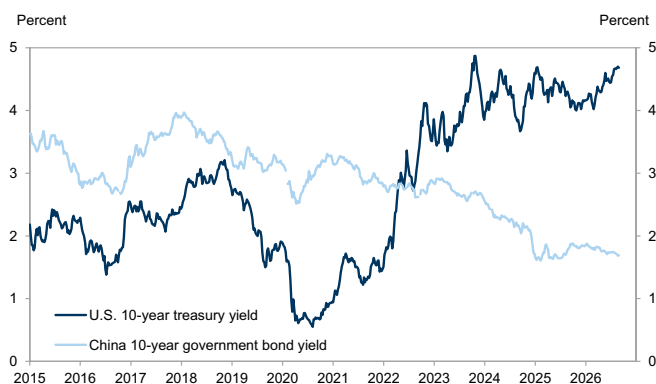
¹ Then-Premier Li Keqiang made similar comments in 2018, though at that time the current account surplus was near its local low as a share of GDP.

Exhibit 1: China macro policy has tightened in 2026 despite weak growth



Source: Wind, Haver Analytics, CEIC, Goldman Sachs Global Investment Research

Exhibit 2: Chinese bond yields have fallen far below US yields



Source: Haver Analytics, Goldman Sachs Global Investment Research

Another policy goal in Beijing – less critical than technology leadership, but nonetheless important and related to the “self-reliance” drive – is internationalization of the RMB. Success in this endeavor would reduce vulnerability to American sanctions in a world where the US dollar remains dominant. Policymakers appear to see a window of opportunity to “gain share” in an international currency sense, and have stepped up efforts in this regard over the past year in several respects, including bond market internationalization. Still another target, unimportant economically but of symbolic value to Beijing, would be for China’s economy to exceed the US in size on a market value basis.²

A policy which Beijing might assess could achieve all these goals simultaneously is gradual RMB appreciation against the USD.

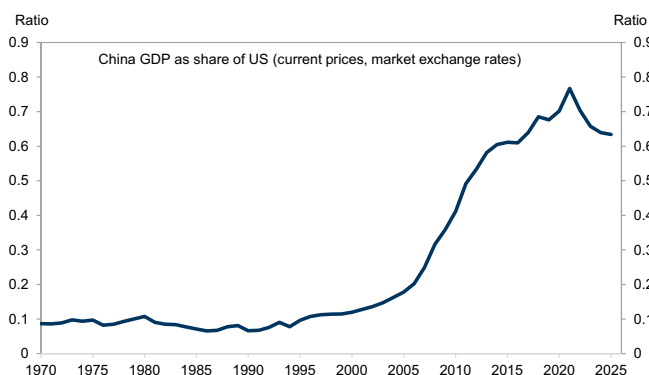
1. From the perspective of continued global manufacturing market share gains, nominal appreciation against the USD might be seen by trading partners as a token of accommodation to foreign concerns, and reduce the likelihood of tariff pushback.
2. From the perspective of RMB internationalization, appreciation – if market participants expect it to continue – helps offset the negative rate differential vs the US and would make RMB-denominated fixed income assets more attractive to hold. Chinese government bond yields have slid lower for almost a decade, with the 5-year CGB yield now about 1.4% and the 10-year 1.7%. Meanwhile, global yields have risen sharply from Covid-era lows, with the US 10-year Treasury yield more than 300bp higher than China’s (Exhibit 2).
3. From the perspective of GDP at current prices and market exchange rates, RMB appreciation could help China gain on the US in relative terms, even as its nominal GDP growth slows.³ Exhibit 3 shows that after a period of strong outperformance from 2005 to 2020, China’s “catch-up” to US market-value GDP reversed from 2021 to 2025 as its nominal growth slowed and the renminbi weakened against the dollar.

² On a purchasing power parity basis, China’s economy is already significantly larger than the United States (\$44.3tn vs \$32.4tn based on IMF WEO data).

³ While many observers believe China’s GDP growth is over-estimated, nominal growth is generally thought to be somewhat more reliable, and FX appreciation could provide an offset.

Exhibit 4 shows when China's GDP would catch up to US nominal GDP (if ever) based on a simple extrapolation of a China nominal growth assumption (horizontal axis; we assume US nominal growth of 4.5% per year) and a CNY appreciation rate versus the dollar (vertical axis).

Exhibit 3: China's economic "catch-up" to the US has stalled since the housing downturn began



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: For China to "catch up" to US market-value GDP in the coming few decades, CNY appreciation will likely be required

Sensitivity Analysis of China-US GDP "catch-up"							
		China annual nominal growth rate (percent)					
		2	3	4	5	6	7
		Ann. CNY appreciation vs USD (percent)					
0	never	never	never	2120	2057	2045	
1	never	never	2120	2057	2045	2039	
2	never	2120	2057	2045	2039	2036	
3	2120	2057	2045	2039	2036	2034	
4	2057	2045	2039	2036	2034	2033	
5	2045	2039	2036	2034	2033	2032	
6	2039	2036	2034	2033	2032	2031	

Uses official GDP data for both countries; US nominal growth is assumed to be 4.5%/year.

Source: Goldman Sachs Global Investment Research

A challenge for Beijing is that rapid RMB appreciation helps the second and third goals, but potentially undermines the first, as it would eventually cut into China's international competitiveness, slowing exports and real GDP growth. But a moderate pace of appreciation – perhaps 3–5% a year against the dollar – would not impede ongoing market share gains, in our view.

Economists typically think about the real trade-weighted exchange rate (TWI) as the most relevant in terms of international competitiveness, as it encompasses the range of trading partners as well as differences in inflation across countries. If gradual enough, RMB appreciation against the USD (i.e. declining USDCNY) need not erode competitiveness as measured by the real TWI, for two reasons.

1. The USD is modestly overvalued by our assessment (with most of this overvaluation against the RMB and other Asian currencies, particularly north Asia). Our global FX forecasts imply roughly a 1% annual depreciation in the broad USD TWI over the next several years. If the USD is on a broad depreciation trend, the RMB can appreciate at the same pace against the USD without appreciating against other currencies (on average).
2. Inflation in China has been lower than in most other countries in recent years. Put differently, China runs a negative "inflation differential" with the rest of the world. This gap has been particularly stark during the housing bust, with much of the world experiencing an inflationary surge but China in lowflation (CPI) or deflation (PPI) during most of this period. This resulted in a sharp real depreciation of the RMB against its trading partners from 2022–25 (Exhibit 5) – particularly on a PPI basis, which is arguably more relevant from a trade perspective. While this degree of inflation divergence is unlikely to be repeated, we project China's inflation to run at

least 1pp below that of trading partners over the next few years.

Exhibit 5: The real trade-weighted RMB is substantially cheaper than it was five or ten years ago



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 6: RMB appreciation has occurred alongside export market share gains when initial competitiveness was strong



Source: Haver Analytics, Goldman Sachs Global Investment Research

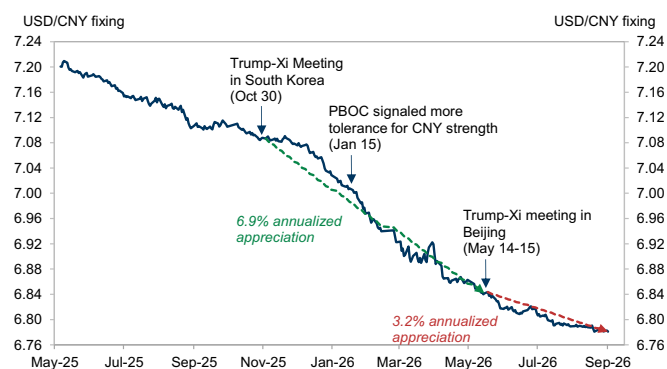
The above points suggest that the RMB could appreciate 2-3% a year against the USD without any appreciation in the real CNY TWI for several years into the future. And of course, it could appreciate modestly faster than that – even say 5% a year – and still remain meaningfully ‘cheap’ to fair value five years from now. Roughly, if a 5% annual appreciation against the USD means a 2.5% annual appreciation in the real RMB TWI, and the RMB is 20% undervalued today, then China would have only halved its undervaluation after four years. A strong case can be made that the undervaluation is larger than 20%, and it’s also possible that the inflation differentials and broad USD moves could be bigger than we assume here. In other words, policymakers may be able to have their cake and eat it too:

- Appreciation of 3-5% per year against the USD would have only marginal impacts on the competitiveness of Chinese firms in the next few years.
- If markets came to expect such appreciation, this would offset China’s lower rates on government bonds and related fixed income securities, probably contributing to increased international holdings of RMB assets.
- Given sluggish nominal GDP growth in China, currency appreciation could help close the gap with US GDP on a market value (dollar) basis.
- This pace of appreciation is broadly in line with forward pricing over the coming year, making speculative positions less attractive in either direction and simplifying the problem of currency management from the authorities’ (PBOC/SAFE) perspective.

An implicit assumption in the discussion so far is that Beijing has a significant degree of control over the exchange rate. We strongly believe this to be the case – that in broad terms the CNY is at least as much a policy variable as a market outcome. While movement within the trading band is largely market-determined, the broader path is policy-determined. This reflects a combination of both explicit signaling (daily CNY fix), other central bank communication, large-scale resources to intervene and willingness to do so, and a longstanding capital control regime that attempts to route flows through authorized channels (e.g. the Stock/Bond Connect schemes).

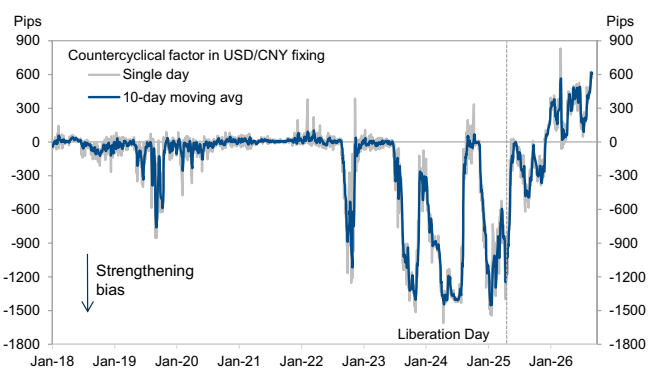
From the perspective of China's household welfare and global imbalances, a better policy option would be more rapid appreciation coupled with greater support to domestic consumption. To the extent that currency appreciation slows headline GDP growth and introduces more deflationary pressures, it would incentivize Chinese policymakers to implement demand-boosting reflationary policies, which is another necessary condition for restoring economic balances for China. China might hold or gain global manufacturing share even in this scenario – for example, in the 2005-15 period, China's share of global manufacturing grew rapidly even as its trade-weighted exchange rate appreciated, reflecting its strong competitiveness and the tailwind from WTO admission ([Exhibit 6](#)). Collectively, these actions would increase households' purchasing power, and reduce global imbalances and trade tensions. Despite some calls by Chinese [academics](#) and [former policymakers](#) to support households, and the rollout of a [five-year plan to improve consumption](#), Beijing appears to be moving very cautiously in terms of implementation. While the RMB appreciated fairly quickly in late 2025 and early this year ([Exhibit 7](#)), some of this may have reflected efforts to manage the relationship with the US, and recent signals from the daily fixing suggest Beijing would prefer to slow the pace going forward ([Exhibit 8](#)).

Exhibit 7: The RMB appreciated quickly from late 2025 through midyear 2026...



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 8: ...but recent CNY fixings imply Beijing prefers a more gradual pace of appreciation



Source: Bloomberg, Goldman Sachs Global Investment Research

Therefore, we continue to expect modest, low-to-mid-single-digit appreciation of the RMB in the coming years. Shocks that could change the path include a re-ignition of large-scale tariff war, or a major global economic downturn, either of which would take away the export impulse to China. Absent those, we expect USDCNY to reach about 6 at end-2028 and 5.50 at end-2031. Strength in the renminbi should also be supportive of other Asian currencies; correlations between CNY and other Asian currencies have risen in recent years.

Key near-term events for the bilateral exchange rate are likely to include the US employment report and September Fed meeting, but most importantly the scheduled visit of President Xi to Washington to meet with President Trump on September 24.

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